

DECODED EXPLAINED

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India Is Losing West Asia, But It Is Not Too Late

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India is losing West Asia, one country at a time. Even as the region undergoes a once-in-a-generation shift in its security architecture and political battle lines, it is unclear what India's strategy is ...or whether New Delhi has one at all.

It was not supposed to be this way. Just 10 years ago, India was rapidly remaking its footprint in West Asia. In 2016, Saudi Arabia awarded India's Prime Minister its highest civilian honour. In 2021, the I2U2 agreement was signed binding India, Israel, the United States and the United Arab Emirates (UAE) together. In 2024, Iran leased Chabahar to India. All these successes though are now memories from the past.

Pakistan's new diplomatic moment

In the last four months, the U.S.-Israel war with Iran has escalated into a catastrophic regional conflict with Iran attacking the Gulf Cooperation Council (GCC) countries, the Saudis hitting Iraqi militias, Houthis attacking Saudi ships and Israel carrying out strikes in multiple countries. Now, the Gulf countries are rethinking the efficacy of the U.S. security umbrella. They see a threat from both Iran and Israel.

Among the Gulf countries there is a schism on how to handle this threat – through engagement (as the UAE is doing) or through deterrence (as the Saudis are contemplating).

In this context, Pakistan's role as mediator in the U.S.-Iran conflict is gaining it reputational benefits in the region. Irrespective of Pakistan's motives, analysts in the region see that Pakistan waded into the conflict at a time when it seemed that no one could bring U.S. President Donald Trump and the Iranians to the table despite efforts by Türkiye, Qatar and Egypt.

The latest collective defence pact in Mecca between Saudi Arabia, Türkiye and Pakistan comes in this context. This pact may mean less in shaping the U.S.-Iran war as none of these



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West Asia is
changing rapidly
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countries is likely to directly take on Iran alongside the U.S. The pact is thus aimed less at Iran and more at deterring Israel. All three countries see themselves as the next target of Israel after Iran. They thus want to pool Saudi capital, Pakistan's military strength, and Türkiye's technological advances.

This is a challenge for India. A future war between Israel and Pakistan will inevitably draw in India given the close partnership between Israel and India. Similarly, even greater Turkish support for Pakistan in a future conflict that Pakistan might have with India cannot be ruled out.

The choices before India

What then is India's strategy? It appears to be confident of Israel's victory in its various battles in the region given its proximity to the U.S. But U.S. politics are changing rapidly, with both 'Make America Great Again' Republicans and Democratic Socialists questioning the once-unquestioned U.S. support for Israel. Can Israel then emerge triumphant alone?

India has cultivated a special relationship with the UAE given the importance of remittances from Indian expat workers in the country, the investments by the Indian elite in the UAE and the UAE's strategic investments in India. But the UAE's mounting differences with Saudi Arabia are a cause for concern, as are its positions against UN-recognised governments in conflicts as far as Sudan. Can the UAE emerge unscathed in all these conflicts?

India can choose to sign military alliances with Israel and the UAE. But this would hurt what is left of India's relationship with Iran and Saudi Arabia. India can choose to do nothing as it is doing now. And its merchant mariners may keep getting killed in the Strait of Hormuz while more Indian ships may sink in the Bab-el-Mandeb.

A great power in the making risks appearing humbled and hobbled in its immediate maritime neighbourhood.

Or, India can pick a third way. It can devise an active regional political strategy. Re-engage the Saudis with whom it has no explicit differences.

It can start playing a role of rebuilding trust between the Arab countries and Iran, starting with the UAE-Iran relationship. It can engage in Jordan's security offering Jordan defensive technologies at a time when U.S. munitions are running low. It can engage in the future UN peacekeeping role in Lebanon, which is now under a cloud, with the forecast being an end to the UN Interim Force in Lebanon (UNIFIL). It can even run a back-channel with Türkiye sharing its red lines about its relationship with Pakistan. If India cannot join the new Saudi-led maritime force for the Red Sea, it can work with Egypt on a parallel effort to safeguard India-bound shipping, from the Suez Canal to Bab-el-Mandeb. It can look into setting up a military presence in the Red Sea region whether in Somaliland or Socotra. Building on current military training exchanges, it can start drills and military exercises with a range of countries in the region.

Think of bridge-building

India can also appoint a new Special Envoy for West Asia – not one focused on the Israel-Palestine peace process necessarily, but one who can draw all the threads together to secure India's interests in the region at a time of unprecedented turbulence. All of this can be part of one pro-active vision for India to support a new security architecture for West Asia – one that does not draw new battle lines but instead contributes to trust-building.

India cannot afford to be a stranger to West Asia. India has both the capacity and the responsibility to help restore peace and predictability in the region.

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I2U2 initiative is a new grouping of India, Israel, USA and UAE.

In the grouping's name, 'I2' stands for India and Israel, whereas 'U2' stands for USA and the UAE.

This will help the countries in exploring security cooperation among the four nations within the framework of these new groupings.

Work Together in Different Fields: These countries could cooperate on a number of levels, whether it's technologies, trade, climate.

India Is Losing West Asia, But It Is Not Too Late

- **India's Fading Footprint**

- A decade ago, India was rapidly expanding its presence in West Asia: Saudi Arabia's highest civilian honour to India's PM (2016), the I2U2 grouping of India, Israel, the US, and UAE (2021), and Iran leasing Chabahar port to India (2024).
- The article argues these successes are now fading as the region undergoes a 'once-in-a-generation shift' in its security architecture, with India's strategy unclear.

- **Pakistan's New Diplomatic Moment**

- In the last four months, the US-Israel-Iran conflict has escalated into a wider regional crisis, with Gulf countries now questioning the reliability of the US security umbrella.
- Pakistan has gained reputational benefit by acting as a mediator in the US-Iran conflict; a new collective defence pact in Mecca links Saudi Arabia, Türkiye, and Pakistan.

- **Why This Is a Challenge for India**

- A future Israel-Pakistan conflict could draw in India given its close Israel partnership; equally, greater Turkish support for Pakistan in a future India-Pakistan conflict cannot be ruled out.
- India's ties with the UAE face strain from the UAE's own differences with Saudi Arabia and its positions in conflicts like Sudan.

- **The Choices Before India**

- India could sign military alliances with Israel and the UAE (risking ties with Iran and Saudi Arabia), do nothing (risking continued attacks on Indian shipping), or pursue an active, independent regional strategy.
- The suggested 'third way' includes rebuilding Arab-Iran trust, engaging Jordan on defence technology, joining Lebanon's future peacekeeping role, and appointing a new Special Envoy for West Asia.

India's Sweet Revolution Depends on Safeguarding the Bee

India's sweet revolution depends on this: Safeguard the bee, sustainability is key



ASHOK GULATI, SUVANGI RATH, AND TANMOY ADHIKARY

INDEPENDENCE DAY this year coincided with the US's National Honey Bee Day. A honey bee is a small insect that can sit on a fingertip. Why is it accorded such importance in the US? According to the UN's Food and Agriculture Organisation (FAO), the quiet role of bees as pollinators is responsible for almost one-third of global crop output. It enhances yields for 87 of 115 leading food crops.

Bees do more than improve yields. They enhance the nutritional quality of farm produce. If India has to make its agriculture productive and nutritious, bees must be treated as farmers' best friends. While passing by the mustard fields of Uttar Pradesh and Rajasthan or the apple orchards of Himachal Pradesh, one realises what these insects can do. They have helped India emerge as the second-largest producer of honey in the world, after China, and the third-largest exporter of honey after China and New Zealand in value terms.

Beyond the pollination service, bees have helped farmers augment their incomes through apiculture (honey bee farming). India's honey production has nearly doubled over the last decade, from about 76,000 tonnes in 2013-14 to roughly 1.51,000 tonnes in 2025-26, signalling real scale in supply and capacity. Interestingly, almost 70 per cent of India's honey production is exported (\$208 million in 2025-26), and India accounts for around 8.4 per cent of global honey exports. However, the export basket remains highly concentrated: The US absorbed about 76 per cent of India's exports (\$157.8 million) in 2025-26. Such concentration carries risks for India's export

India's Honey Production and Export Trends



SOURCE: DGFT 2026, MOAFW 2026

markets, a taste of which was felt when the US suddenly imposed high tariffs on goods imported from India. It was a big blow to Indian honey exporters and farmers, but the turnaround was also very swift in terms of diversifying export markets.

India's response was pragmatic. Shipments to countries such as the Netherlands, Belgium, Germany, and Israel have started reflecting a shift toward markets that value natural, sustainably sourced honey. At the same time, EU consumers are willing to pay a premium for traceable and environmentally responsible products, traits that India's multifloral and organic honey varieties can uniquely offer.

However, India's domestic market remains limited despite its large population. India's per capita honey consumption remains low (about 37 gm per year) — this suggests enormous potential that's yet to be tapped. As awareness of its health benefits spreads and retail penetration improves, a do-

mestic market can help stabilise producer incomes while supporting premium-quality exports.

This diversification mirrors a classic economic lesson: Trade barriers often compel resilience and innovation. Rather than being confined to one large buyer, India's honey sector is now spreading its wings across geographies, reducing dependence on a single market and building stronger foundations for long-term export growth. However, unit value realisation remains a constraint: Indian honey's unit value is about \$1,858 per tonne, well below the world average and far from premium categories like New Zealand's Manuka. Upgrading quality, traceability and branding is therefore essential. Also, price realisation can improve if exports are in branded retail packs rather than wholesale unbranded volumes.

Reforms and investments will determine whether this moment becomes a structural transforma-

tion or a reprieve. At the same time, investment in NMR (Nuclear Magnetic Resonance) capable testing labs, cluster-based processing, GI branding for unique floral varieties (Sundarbans, Ramban Sulai), and turning farmer organisations into FPOs will lower compliance costs and enable entry into premium EU, Japanese and East Asian markets. The global bee products market (beeswax, propolis, royal jelly, pollen) is already sizeable — it was valued at roughly \$12.7 billion in 2023 and is projected to grow, offering India a high-margin diversification route beyond bulk honey.

Sustainability should be at the centre of the efforts. Expanding exports cannot come at the expense of bee health. Scientific beekeeping, pesticide management, and support for pollination services will protect both yields and ecosystem services that agriculture depends on. Initiatives under the National Beekeeping and Honey Mission and APEDA's export support are steps in the right direction, but scaling them requires sharper targeting, labs, cluster grants, export promotion, and large-scale consumer campaigns ("Honey for Health") to grow domestic demand.

Every rupee of honey we export rests on a far larger, unpriced service — the pollination that fills the orchard, the oilseed field and the vegetable plot quietly underwrites the food on our plates. The real measure of India's sweet revolution, then, will not be how much honey we sell, but whether we learn to protect the tiny worker that makes both the honey and the harvest possible. Safeguard the bee, and prosperity follows. Lose it, and no amount of policy will buy the loss back.

Can our policymakers give due priority to these silent workers that pollinate without a charge and enhance rural prosperity? Can they set a target to double honey bee colonies in the country by 2030, and double India's share in the global market by that year?

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India must look beyond honey exports and recognise bees as an essential, unpaid agricultural workforce

India's Sweet Revolution Depends on Safeguarding the Bee

Bees as an Unpaid Agricultural Workforce

- According to the **Food and Agriculture Organization (FAO)**, pollinators contribute to almost **one-third** of global crop production
- **Beekeeping** contributes to rural livelihood diversification, employment generation and agricultural productivity.

India's Beekeeping and Honey Sector

- India has emerged as the **second-largest honey producer** in the world after China, reflecting the expansion of **apiculture** and commercial beekeeping.
 - **Major Indian states producing honey are:** Uttar Pradesh (17%), West Bengal (16%), Punjab (14%), Bihar (12%) and Rajasthan (9%).
- **Major export destinations** included the **U.S.A, UAE, Saudi Arabia, Qatar and Libya.**
- Almost **70 per cent** of India's honey production is exported (\$208 million in 2025-26), and India accounts for around **8.4 per cent** of global honey exports.

India's Sweet Revolution Depends on Safeguarding the Bee

Challenges

- **India's honey exports have been highly concentrated** in the US market, which accounted for approximately **76%** of India's honey exports in 2025-26.
- **Low Value Realisation:** India largely exports honey in bulk and relatively unbranded forms, limiting its ability to capture premium prices.
- **Untapped Potential of the Domestic Market:** India's per capita honey consumption remains low at around **37 grams per year**, despite the country's large population and expanding production.
 - A weak domestic market also increases the sector's dependence on international demand.
- **Declining bee health:** indiscriminate use of pesticides, particularly during flowering periods, adversely affects bee populations and reduces the pollination services.
- **Inadequate testing:** Inadequate infrastructure for **Nuclear Magnetic Resonance (NMR)-based testing**, quality certification, residue testing and traceability can restrict access to premium export markets.

Girls Conditioned From Childhood to Take Up Domestic Burden

Girls conditioned from childhood to take up domestic burden

The time women spend on housework begins to rise around the age of 10 and reaches a peak of nearly 460 minutes a day around age 30

DATA POINT

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In a recent interaction with women aspiring to become entrepreneurs in rural Haryana, it was found that other than social and cultural norms, the biggest practical problem constraining the women's ability to do more paid work was that a large share of their time was tied up in cooking and completing household chores. Strikingly, their daughters, rather than their sons, were already sharing this burden by helping them in the kitchen and other chores. The next generation, it seemed, is already learning to reproduce the gender gap in invisible, unpaid work.

India's Time Use Survey (2025) highlights that the division of labour that emerges in adulthood begins much earlier, through childhood conditioning. What starts in childhood widens with age, reaching its peak in the prime working years (Chart 1).

The time women spend on housework begins to rise around the age of 10 and continues through the late teens and twenties, reaching a peak of nearly 460 minutes (7.5 hours +) a day around age 30. The male curve, however, never crosses 65 minutes at any age between six and 75. Adolescence, in this sense, is not separate from adulthood; it is when the adult pattern begins to take shape (Chart 1). Data shows that at age six, Indian boys and girls spend almost the same amount of time on domestic and care work at about five minutes a day (Chart 2). Their trajectories remain relatively close through early childhood. Thereafter, however, they diverge sharply.

Around age 10, the girls' curve begins to pull away. Girls spend about 15 minutes a day on domestic and care work at age 10, 75 minutes at 15, and around 130 minutes

by age 17. Boys, meanwhile, move from roughly five minutes at age six to only about 17 minutes by the end of childhood. The result is a dramatic widening of the gender gap. The girl-to-boy ratio in unpaid work rises from 1.6 among children aged 6-9, to 4.5 among those aged 10-14, and to 7.5 among adolescents aged 15-17.

Little control over time

The cost is leisure. Between ages six and 17, girls' housework rises by roughly 124 minutes a day, while their leisure time falls by around 115 minutes. For boys, the decline in leisure is much smaller but the time they spend on housework changes relatively little.

This matters because the cost of girls' domestic work is often framed primarily as a trade-off with schooling and education. But data shows that girls, in fact, are spending slightly more time on learning than boys at most ages. They, therefore, remain in school but still pay a substantial price in leisure time that could be spent on sport, friendships, rest, exploration and simply having discretionary control over their own time. These are not economically irrelevant activities. They are part of how children build confidence, social networks, physical capability and even a sense of agency, all of which influence their ability to build career trajectories later in life (Chart 2).

Cooking lies at the centre of this divergence (Chart 3). Among adolescents aged 15-17 years, 42.4% of girls report cooking, compared with only 2.9% of boys. Girls in this age group spend close to an hour cooking, while boys spend just two minutes. Cleaning and laundry also become increasingly gendered, with wide gaps in both participation and time spent. The only tasks where adolescent boys match or exceed girls are farm work and shopping; activities that are more outward-facing (the field and market), rather than inward-facing in to the kitchen.

Between childhood and adulthood, therefore, girls are being trained for the household while boys are being trained for the world outside. This helps explain why childhood conditioning can later appear as an "efficient" gendered allocation of household work.

One of the clearest manifestations of these gendered expectations is women's absence from the labour force. In the 2025 PLFS, childcare and domestic responsibilities were the single most-cited reason women gave for staying out of the labour force, reported by 52.5% of urban women and 40% of rural women, compared with less than 1% of men.

Most policy interventions address women's unpaid work in adulthood through childcare, community kitchens, safe mobility infrastructure, flexible work and social protection, among others. But the Time Use Survey suggests that policy must also start much earlier, by addressing the unequal assignment of domestic work between boys and girls.

The objective is not to remove domestic work from children's lives, but to remove its gender assignment. Schools can help by giving every child, boy or girl, equal opportunities to learn practical life skills, from cooking and home management to stitching, carpentry and financial management.

India has invested heavily in keeping girls in school and improving their educational outcomes, but equal attention must be paid to what happens to their time outside school. Otherwise, by the time young women enter the labour market, years of gendered conditioning and unpaid work may already have narrowed their choices. If we want a different workforce tomorrow, we may need to start by giving boys and girls a different childhood today.

Authors work at the Indian Council for Research on International Economic Relations (ICRIER). Views expressed are personal

Disproportionate burden

The data for the charts were sourced from India's Time Use Survey (2025) and the Ministry of Statistics and Program Implementation (MoSPI)

CHART 1 : Time spent on housework (unpaid domestic and caregiving services)

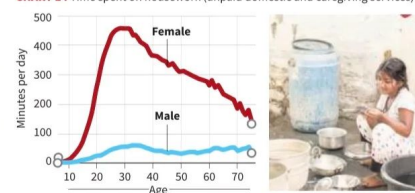


CHART 2 : Time spent by children on domestic work, leisure and learning

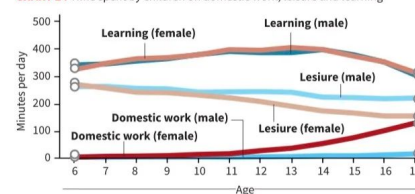
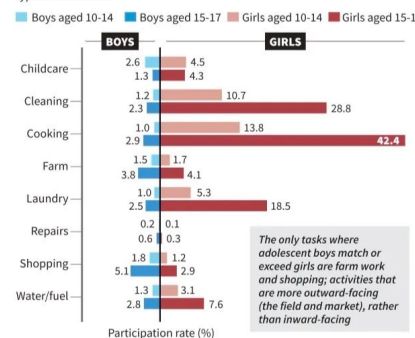


CHART 3 : The share (participation rate) of girls and boys who engage in different types of housework



The only tasks where adolescent boys match or exceed girls are farm work and shopping; activities that are more outward-facing (the field and market), rather than inward-facing

Girls Conditioned From Childhood to Take Up Domestic Burden

- **The Core Finding**

- India's Time Use Survey (2025) shows the gendered division of unpaid domestic labour begins in childhood, not adulthood, the time women spend on housework starts rising around age 10 and peaks at nearly 460 minutes a day around age 30.
- The male curve, by contrast, never crosses 65 minutes a day at any age between 6 and 75.

- **The Widening Gender Gap**

- The girl-to-boy ratio in unpaid work rises from 1.6 among children aged 6-9, to 4.5 among those aged 10-14, and to 7.5 among adolescents aged 15-17.
- Between ages 6 and 17, girls' housework rises by roughly 124 minutes a day, while their leisure time falls by around 115 minutes; boys' housework time changes relatively little.

- **Cooking at the Centre of the Divide**

- Among adolescents aged 15-17, 42.4% of girls report cooking, compared with only 2.9% of boys; girls in this age group spend close to an hour cooking daily, while boys spend just two minutes.
- Cleaning and laundry show similarly wide gaps; the only tasks where adolescent boys match or exceed girls are farm work and shopping, outward-facing activities.

- **Why It Matters**

- In the 2025 PLFS, childcare and domestic responsibilities were the single most-cited reason women gave for staying out of the labour force 52.5% of urban women and 40% of rural women, compared with less than 1% of men.

Girls Conditioned From Childhood to Take Up Domestic Burden

460 min/day

Peak daily housework time for women, reached around age 30

<65 min/day

Men's housework time never exceeds this at any age from 6 to 75

1.6 → 7.5

Girl-to-boy ratio in unpaid work: age 6-9 vs age 15-17

42.4% vs 2.9%

Share of girls vs boys (aged 15-17) who report cooking daily

The Federal Dilemma of Delimitation

The federal dilemma of delimitation

The Centre made an oral assurance while introducing the Bill to increase Lok Sabha seats that each State's share would increase by 50% on a pro-rata basis. However, the increase could weaken the Rajya Sabha's role as a check on the Lower House, while the Lok Sabha's limited sitting days would leave MPs with less time to raise issues

EXPLAINER

Rangarajan R.

The story so far:

The Tamil Nadu Legislative Assembly has passed a resolution urging the Centre to permanently freeze the number of Lok Sabha seats at the existing number of 543 and maintain the present State-wise distribution of those seats. It also advocated the preservation of current ratio of 2.2:1 between Lok Sabha and Rajya Sabha seats. It sought the implementation of one-third reservation of seats for women in the Lok Sabha from the 2029 election onwards, without linking it to any future census or delimitation.

Defining delimitation

Delimitation means the process of fixing the number of seats and boundaries of the territorial constituencies in each State for the Lok Sabha and Legislative Assemblies. The delimitation process is performed by 'Delimitation Commission' that is set up under an act of Parliament. The last time when the number of seats were determined was on the basis of 1971 census population.

'Democracy' means 'rule or government by the people'. It follows that the government is elected by a majority with the broad principle of 'one citizen-one vote-one value'. Article 81(2) of the Constitution provides that the ratio between the number of seats and population of a State, shall as far as practicable be same for all the States. The number of seats in the Lok Sabha based on 1971 census was fixed at 543, when the population was 54.8 cores. This broadly translated to an average population of 10.1 lakhs per constituency. However, it has been frozen as per 1971 census in order to encourage population control measures so that States with higher population growth do not end up having higher number of seats. This was done through the third Amendment Act till the year 2000 and was extended by the 84th amendment act till 2026. This number will have to be readjusted based on the first census after 2026 which would be the next census in 2027. In 2023, through the 106th Constitutional Amendment, the Parliament had provided for one-third reservation of seats for women in the Lok Sabha and Legislative Assemblies. This would be through delimitation based on the census in 2026.

The issues involved

The population explosion that happened in our country during the last five decades has been uneven, with some States like Uttar Pradesh, Bihar, Madhya Pradesh and Rajasthan witnessing a greater increase than States like Kerala, Tamil Nadu, Karnataka and Andhra Pradesh. The ratio between the current number of seats and the projected population of States as of 2026 does not satisfy the core democratic principle of 'one person-one vote-one value' (Table 1). On the other hand, the increase in the number of seats among various States based on the current population (to 848) is provided in Table 2. Southern States, smaller states in the North, as well as the north Eastern States, are bound to be at disadvantage when compared to large north Indian States in such a scenario. This would be against the federal principles of our country. It also goes against the philosophy for freezing the seats as per 1971 census with the States

Representation imbalance

The redistribution of seats based on current population could put smaller and less populous States at a disadvantage



Table 1: Value of vote of each citizen based on estimated population as of 2026

State	Number of seats at present	Projected population as of 2026 (in crores)	Projected population per Lok Sabha seat (in lakhs)	Value of 1 vote*
Uttar Pradesh	80	25.7	32.1	0.36
Bihar	40	13.5	33.8	0.53
Rajasthan	25	8.4	33.6	0.54
Madhya Pradesh	29	9.1	31.4	0.57
Tamil Nadu	39	7.8	20	0.9
Andhra Pradesh + Telangana	42	9.3	22.1	0.81
Kerala	20	3.6	18	1
Karnataka	28	6.9	24.6	0.73
Punjab	13	3.2	24.6	0.73
Himachal Pradesh	4	0.8	20	0.9
Uttarakhand	5	1.2	24	0.75

*Kerala calculated as 1 and States' values derived on this base

that have been better at controlling the population losing out on their political significance.

Current proposal by the Centre

The Union government had introduced the Constitution (104th Amendment) Bill in April 2026 to increase the maximum number of Lok Sabha seats from existing 550 to 850. The Home Minister made an oral assurance in the Parliament that the Constitution (104th Amendment) Bill in April 2026 to increase the maximum number of Lok Sabha seats from existing 550 to 850. The Home Minister made an oral assurance in the Parliament that the Constitution (104th Amendment) Bill in April 2026 to increase the maximum number of Lok Sabha seats from existing 550 to 850. The Home Minister made an oral assurance in the Parliament that the Constitution (104th Amendment) Bill in April 2026 to increase the maximum number of Lok Sabha seats from existing 550 to 850.

The larger implications

The are two main arguments in support of the proposal for 50% pro-rata increase. First, it would not alter the current reservation of one-third seats for women with the additional 272 seats being reserved for women out of the enlarged house of around 596 seats.

However, such an increase has its share of challenges. Firstly, the current strength of Rajya Sabha is 245 that results in a ratio of 2.2:1 between the total strength of Lok Sabha and Rajya Sabha. An increase in Lok Sabha seats by 50% without altering seats in Rajya Sabha would skew this ratio to 3.3:1.

In the event of disagreement between the two houses on any bill, there is a mechanism for Joint Sitting under the constitution to resolve the deadlock. Though used rarely in the past (only 3 times since independence), this increased strength in the Lok Sabha runs the risk of rise in such joint sittings to push through Bills. In such a scenario, it would diminish the role of the Rajya Sabha as an effective check and balance on the Lok Sabha. Secondly, considering that the Lok Sabha sits for only around 60 days in a year, there would hardly be any meaningful time for each MP to raise their issues in the house. The purpose of the house would then be reduced to mere numerical representation rather than meaningful deliberation.

Finally, the increased cost to the exchequer because of additional MPs including allocation for the Members of Parliament Local Area Development Scheme (MP-LADS) funds needs to be

Home in mind

Harmonious reconciliation

The issue arises as the democratic and federal principles seem to be at loggerheads in the delimitation exercise as currently envisaged. However, they can be harmoniously reconciled by giving equal importance to both. The main work of a Member of Parliament is to legislate on the 'Union List' subjects such as defence, external affairs, railways, telecommunication, taxation etc. and hold the Central government accountable. A majority of the schemes of the Central Government are implemented only by the State governments. Hence, the number of MPs in Lok Sabha may be frozen at the present number of 543, which would ensure no disruption to the current representation of various States. This would maintain and uphold the federal principle. One-third reservation for women can be provided out of the existing 543 seats. The number of MLAs in each State may be increased in line with the current population to address the democratic representational requirement. (Rangarajan R. is a former IAS officer and author of 'Courseware on Policy Simplified'. He currently trains at Officers IAS Academy. Views expressed are personal.)

THE GIST

The Union government introduced the Constitution 111st Amendment Bill in April 2026 to increase the maximum number of Lok Sabha seats from the existing 550 to 850.

The Tamil Nadu Assembly recently passed a resolution urging the Centre to permanently freeze the number of Lok Sabha seats at 543 and maintain the present State-wise distribution of seats.

The ratio between the current number of seats and the projected population of States as of 2026 does not satisfy the principle of 'one person, one vote, one value'. However, increasing the number of seats based on current population would put smaller and less populous States at a disadvantage.

Gen Z's Buy-Now, Pay-Later Habit Fuelling Unsecured Loans

Gen Z's buy-now, pay-later habit fuelling unsecured loans, worrying regulator

Aanchal Magazine
New Delhi, August 16

TWO MUMBAI-BASED teenage girls travelled with their mother to Busan, South Korea, to attend a concert of Korean boy band BTS in June, financing much of their spending through a credit card.

A young couple travelled to Thailand for a vacation last year, spent well beyond their budget on credit cards, and have since then resorted to rotating money through third-party vendors to create artificial cash flow, according to a personal finance post on Reddit warning about funding small luxuries with debt.

While India's household debt has surged in recent years, financial sector regulators are particularly concerned about the composition of that debt. Non-housing retail loans — largely used for consumption — now account for more than half of household borrowings, and have grown faster than housing, agriculture and business loans, a trend flagged in internal discussions among policymakers.

As of March 2026, non-housing retail loans — primarily the consumption segment — constituted 58.4% of households' total borrowings, up from 54.9% of total household debt in March 2025. Average outstanding debt per borrower rose to Rs 4.78 lakh as of March-end 2025, from Rs 3.41 lakh as of March-end 2018, according to Ministry of Finance data. The sharpest increases have come in some personal borrowing categories. Outstanding loans against gold jewellery jumped to Rs 4.61 lakh crore as of March 2026 from Rs 74,738 crore in March 2022, while other personal loans' outstanding stood at Rs 17.32 lakh crore as of March 2026 compared with Rs 902 lakh crore in March 2022, data shared in Parliament on Monday (August 10) showed.

While the risks to the Indian financial system from household lending remain contained, the Reserve Bank of India (RBI) has flagged household debt accumulation, particularly among lower-rated borrowers, as requiring "close monitoring". Gross NPA ratios stood at 0.7% in secured retail loans and 1.7% in unsecured retail loans at end-March 2026. The "exposure to these sectors requires close monitoring as

• Non-food bank credit, outstanding personal loans (March-end)

	2022	2023	2024	2025	2026
Personal Loans	34,66,075	41,82,767	53,46,691	59,71,696	69,39,750
Consumer Durables	17,834	20,985	23,445	23,201	21,962
Housing*	17,38,479	19,91,164	27,18,712	30,10,477	33,55,963
Education	83,693	96,482	1,19,380	1,37,456	1,55,824
Vehicle Loans	4,04,756	4,87,597	5,73,391	6,22,793	7,38,678
Loans against gold jewellery	74,738	89,370	93,301	2,06,284	4,61,373
Other Personal Loans	9,01,595	11,62,345	14,27,872	15,35,197	17,31,838

NOTE: FIGURES IN RS CR. SOURCE: RBI

* INCLUDING PRIORITY SECTOR HOUSING

risks to asset quality could increase, especially if overall economic conditions weaken due to the West Asia conflict and impact borrower cash flows", the RBI had said in its latest Financial Stability Report.

Unsecured personal loans remain a particular vulnerability. In the small-ticket personal loan segment of less than Rs 50,000, fintech firms have gained a higher 56.8% market share, after strong 41.6% credit expansion, well above the overall segment growth of 20.1%. Delinquencies stood at 6.4% as of March 2026. About 70.5% of fintech loan books are unsecured, with roughly half of these loans extended to borrowers under 35. As per the latest CIBIL TransUnion data, the share of India's credit-eligible population that is credit-active has risen from 11% about a decade ago to around 28% now.

Of the credit-eligible population of 890 million, close to one-third have, over the last year, taken a loan or have a loan running, or are paying EMIs on credit card bills. Almost half of this credit-active population has a consumption loan — credit card, personal loan, or consumer durable loan — while nearly 10% have an entrepreneurial loan or business-oriented loan.

The number of credit-active consumers with consumption loans and business loans grew fourfold and tenfold, respectively, between 2017 and 2024, TransUnion CIBIL data showed. Consumption borrowing has been driven substantially by younger consumers, including Gen Z, often with repayment tenures of less than three years.

"What we need to continue

ously monitor is that while encouraging credit growth, are we incentivising need-based credit. The other thing is the ability to pay, especially in certain segments such as younger borrowers where the leverage has gone up. In the case of consumption loans, for instance, the lender cannot be in a position to fully qualify income information and if on account of the increased leverage, the consumer is in a situation to pay or not," an executive with a credit bureau said.

The share of over-leveraged consumers rose threefold — from 5% in FY17 to 15% in FY24 — before easing marginally to 15% in FY26 after industry intervention, with excessive borrowing concentrated among younger consumers. Their share in the country's credit-active base has increased from 33% in 2017 to 39% in 2026.

Even as unsecured retail lending has moderated — it forms 25% of retail loans and 8.3% of gross advances — its asset quality has weakened relative to the overall retail portfolio. Its gross non-performing asset ratio stood at 1.8% vis-à-vis 1.2% in March 2025, with stress particularly visible in private sector banks.

The trend suggests a growing propensity to incur debt for immediate consumption rather than asset creation. Outstanding credit card debt crossed Rs 3 lakh crore last fiscal, while delinquencies — payments overdue between 90 and 360 days — rose more than 40% year-on-year, as per the data from CRIF High Mark, an RBI-registered credit bureau.

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Gen Z's Buy-Now, Pay-Later Habit Fuelling Unsecured Loans

Prepaid Payment Instrument (PPI)

A Prepaid Payment Instrument (PPI) is a financial instrument that allows a person to load money in advance and use it for making payments to merchants or transferring funds. PPIs are issued by banks or non-banking financial companies (NBFCs) and are regulated by the Reserve Bank of India (RBI).

Types of PPIs:

1. **Closed System PPIs** – Usable only for merchant-specific transactions (e.g., gift cards). (no need of prior approval of RBI)
2. **Semi-Closed System PPIs** – Can be used at multiple merchants but cannot be redeemed for cash. Examples: PhonePe, Paytm wallet.
3. **Open System PPIs** – Can be used for all merchant payments, ATM withdrawals, and fund transfers.

First Loss Default Guarantee

FLDG is a lending model between fintech firms and their partner banks and non-banking finance companies where the initial hit on a default is taken by the fintech firm that originated the loan.

Gen Z's Buy-Now, Pay-Later Habit Fuelling Unsecured Loans

- **Buy Now Pay Later is a short-term financing model that allows consumers to make a purchase instantly and defer the payment to a later date, typically in interest-free installments or a lump sum.**

The Trend

- **India's household debt has surged in recent years, with financial sector regulators particularly concerned about its composition : non-housing retail loans, largely used for consumption, now account for more than half of household borrowings.**
- **As of March 2026, non-housing retail loans constituted 58.4% of households' total borrowings, up from 54.9% in March 2025; average outstanding debt per borrower rose to ₹4.78 lakh as of March-end 2026, from ₹3.41 lakh as of March-end 2018.**

Thank You